

Q: Would it be fair to assume that with the US-China détente, the window may have dimmed for India?

A: Well, I think India will definitely benefit, but it must move more quickly to reduce the bureaucratic hurdles for entering the market. It's a big challenge for the Indian government to see if they can make it easier for countries to come here to manufacture.

Nevertheless, the fact that the trade barriers that China has in the US market compared to India, works in India's favour. The tariffs on India are lower than on China. Therefore, India is going to be in a good position to export to the US and boost production of all kinds of goods and services.

"I think the Indian market will go up further from where it is now and I think you're going to have a continuing bull market with [some] corrections along the way"

54 |

Q: How significant will a US-India trade deal be from an investor sentiment point of view?

A: It will be very, very significant if they can reach an agreement. By the way, the trade agreement includes not only tariffs, but also non-tariff barriers. If India can reduce those non-tariff barriers, it will be very positive because companies that want to manufacture in India must import machinery and all kinds of other products to put together a manufacturing ecosystem.

Q: What is your assessment of the India-UK trade pact? Could some sectors get impacted negatively in India, while some could benefit?

A: That's a very good point. I think what we have to do is now look at the agreement between the UK and US. That agreement will be a symbol for what will happen between India and the UK. I think we have to look at all three countries to see what kind of agreements will be reached. But, certainly, what the UK and US trade pact comes up with will be reflected in what's happening between the UK and India.

Q: Are you now more bullish on China after

the trade thaw and could that possibly be at the expense of India?

A: No, I'm more positive on India. China is still a question mark. There are lots of questions we have to answer as regards China. That doesn't mean that there aren't very good companies in China, but we would be cautious until we see how the agreement between the US and China works out.

Q: Have you begun redeploying capital, and if so, which asset classes are you considering?

A: Yes, we now have about 60% cash with our new fund. We are still waiting for approval to enter India. When that happens, we will be able to increase our India component. But we're now looking at countries in Southeast Asia, in particular. Vietnam is at the top of the list, followed by Taiwan, and South Korea. These are countries that we're looking at very closely. Elsewhere, Turkey looks interesting, and Brazil in Latin America. But most important, we're looking at sectors that are innovative, in other words, countries and companies that are innovating in technology.

Q: What is your view on the US dollar?

A: I think the US dollar will strengthen. You know, it's gotten significantly weaker, but I think it'll probably strengthen as people begin to get more confidence in what is happening and return to the US market.

Q: What are the future opportunities from generative AI for businesses?

A: Of course, all companies are focusing on using generative AI. And it's not only companies. Even consumers are using this technology more and more. It's affecting the entire investment world, but you must remember, generative AI is simply faster communication, faster computation, and more information. That is going to drive growth in many of these companies.

Q: Where do you stand on the debate about the AI hype cycle and, till recently, very high valuations some companies enjoyed?

A: It's true that some of these companies have been overvalued. Whenever you have new technology like this, it creates a lot of excitement, and you end up with some pretty crazy valuations. We have to wait and see how things settle down before we commit a lot of money to such sectors.